

# Argan (AGX) — Pitch Deck

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**Adjudicated 2026-08-31 · Position: 0.25% starter staged (6 sh @ \$424 limit, DAY) · Rides the Sep-2 print by design · Spot \$423.57 (+1.4%) · Market cap \$5.9B · NYSE · Fiscal year ends January**

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## What the company does

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Argan is, mostly, **Gemma Power Systems**: an engineering-and-construction firm that builds power plants — overwhelmingly natural-gas plants — under fixed contracts for utilities and independent power producers. When a developer wins approval for a 1,350-megawatt gas plant in Texas, Gemma is the kind of firm that gets paid ~\$1B over three years to actually build it. A small second segment does industrial construction (tanks, plant work); a third does telecom field services. Power is ~78% of revenue and nearly all of the story.

**Why it's interesting right now:** the AI datacenter buildout has produced the first genuine wave of new US gas-plant construction in a decade — datacenters need firm power, and firm power means gas turbines. Argan is one of a handful of proven EPC contractors for that work. This is the picks-and-shovels layer of AI power capex.

## Business health (all figures from SEC filings, verified at the primary)

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| Measure                                        | Latest                                     | A year ago              | Read                                  |
|------------------------------------------------|--------------------------------------------|-------------------------|---------------------------------------|
| Quarterly revenue (Q1 FY27, Apr-2026)          | \$291M                                     | \$194M                  | <b>+50%</b>                           |
| Gross margin                                   | 21.0%                                      | 19.0%                   | +200bp, no accounting cosmetics found |
| Quarterly net income                           | \$46.1M (\$3.24/sh)                        | \$22.6M                 | roughly doubled                       |
| Project backlog                                | \$2.8B                                     | \$1.9B                  | +47%                                  |
| Backlog converting to revenue within 12 months | ~\$1.18B                                   | ~\$0.8B run-rate equiv. | <b>+45%</b> on a comparable basis     |
| Cash + investments                             | \$973.6M (\$421M net of customer advances) | —                       | <b>zero debt</b>                      |

The balance sheet is a fortress: nearly \$1B of cash and investments, no borrowings, and customer advances funding much of the working capital. About \$0.52/share of quarterly EPS is simply interest on the cash pile.

## Why the stock fell (and why that's not a company story)

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AGX dropped 9.2% on Aug 28 — **the day the AI-datacenter complex unwound** behind IREN's impairment (IREN -13%, APLD -7%, WULF -7%). There was no Argan news. The stock is 47% below its \$805 high and still up ~113% from its 52-week low. This is a momentum unwind in a well-discovered name, not an information dislocation — the desk courts it anyway because the screen fired and the question deserved an answer.

## The bear case, and what the court did to it

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**Claim 1 — “The order cycle peaked; backlog is rolling over.”** This was the loudest claim and it is **dead**. The headline backlog dipped \$2.9B → \$2.8B, but both numbers are rounded to the nearest \$100M — the dip is inside the rounding. The decisive evidence points the other way: the company's own disclosure of backlog converting within 12 months **accelerated** (from ~32% of \$1.9B to ~42% of \$2.8B — a +45% jump in monthly run-rate). Backlog is getting *shorter-dated and larger*, the opposite of stale. One caveat our adjudication added: the blue bench's original “+93%” compared a 12-month window to a 9-month window; +45% is the honest number, and the position is sized to it.

**Claim 2 — “Insiders are dumping.”** True and unexplained-away: 31 insider sales, zero buys in six months; the chairman sold ~\$37M at \$726–760. Context that cuts the other way: the company itself repurchased stock at a \$458 average and holds \$85M of live buyback authorization — today's price is **7.6% below management's own buy price**. We treat the insider cluster as a size argument, not a kill.

**Claim 3 — “It's expensive.”** Correct, and it survived: at ~\$424 the enterprise trades at roughly **37–41x operating earnings** (stripping interest income from E and netting only true excess cash from EV). That multiple is the entire remaining bear case, and it is why the position is a quarter-percent starter and not a full slot. Wall Street's \$12.09 FY27 estimate embeds a margin *decline* that has no disclosed driver — Q1 printed 21% gross margin with clean revenue recognition — so the street number is likely low, but “cheaper than consensus thinks” still isn't “cheap.”

**What we added at adjudication (the benches couldn't see the tape):** the options market prices roughly a **±10–15% move** through Wednesday's earnings, and the chain is too thin to hedge with (open interest: 4 calls, 21 puts). On 0.25% of the book, that's **±2–4 basis points of NAV** — survivable by design.

## Why we own a starter into the print (rather than waiting)

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- The thing the selloff claims — order rollover — is refuted in the primary filings. Waiting to “confirm” on Wednesday means paying up 10%+ if the print confirms what the filings already show. That's the exact failure mode that cost the desk +30% on TEAM.
- The house rule (clean-court minimum-starter): when no named kill survives, FLAT is not available. Valuation gates *price and adds*, not existence.
- Sized at half the blue bench's ask because: the decisive bull datum halved on our basis correction; the implied event move is unhedgeable; and Argan's orders depend on the same AI

power-capex cycle our own AI-break ensemble scores at 0.45 by end-2027 — this position deliberately stays small inside that complex.

## What happens Wednesday (pre-registered — no discretion at the print)

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Q2 FY27 prints Sep 2 after the close. The ladder is armed and keyed to fields the company actually discloses:

| Print                                                                   | Action                                        |
|-------------------------------------------------------------------------|-----------------------------------------------|
| Backlog $\geq$ \$2.9B, or \$2.8B with 12-mo conversion still $\geq$ 42% | Add to 0.75% — but only at $\leq$ \$460       |
| Backlog \$2.8B with conversion $<$ 40%                                  | Hold 0.25%, no add                            |
| Backlog $\leq$ \$2.7B                                                   | Exit next session                             |
| Any cancellation/descope language                                       | Exit; reclassify structural — do not re-enter |
| FY27 guidance implying EPS $>$ \$12.09                                  | Independent add signal (margin, not backlog)  |

Frozen forecasts (graded within 30 minutes of the print):  $P(\text{backlog} \geq \$2.8\text{B}) = 0.60$ ;  $P(\text{gross margin} \geq 20\%) = 0.60$ .

## Honest risk list

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1. **Valuation** — 37–41x operating earnings prices years of continued award growth. A multiple-only derate to 25x is  $\sim$ –35% with no thesis error at all.
2. **AI capex dependence** — the order book's growth engine is datacenter power. If the AI buildout breaks (house probability 0.45 by end-2027), awards stall with a lag.
3. **Insider distribution** — 31 sells / 0 buys is what a top looks like from the inside, even when the buyback argues otherwise. 10b5-1 status unverified (coverage gap).
4. **Fixed-price EPC risk** — one bad project can erase a year of margin; the industry's history (including Gemma's own Alto pre-2020) is littered with write-downs.
5. **Event risk Wednesday** —  $\pm$ 10–15% implied, unhedgeable chain, and we're long into it on purpose at quarter size.

## Court record

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Velocity-dislocation screen (–17% 5-day excess) → refutability (FLAT, damage-arriving) → red bench (FLAT, accept-with-cuts, 9 findings) → blue bench (partially overturned red; starter 0.50%) → **adjudication: half-starter 0.25%**, red's rounding-artifact and ladder-defect findings sustained, rollover kill ruled dead at the primary, two detector candidates accepted into the knowledge graph (one amended, one gated). Artifacts: AGX\_REFUTABILITY\_202608310928.md · AGX\_COURT\_RED\_202608311117.md · AGX\_COURT\_BLUE\_202608311313.md · AGX\_ADJUDICATION\_202608311600.md.

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## ADJUDICATION STAMP

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**POST-PRINT RE-COURT PARK RATIFIED — 2026-09-04 (FABLE).** The pre-registered kill-variable resolved bearish: beyond-12-month RUPO  $-27.7\%$  in two quarters while conversion hit 48% — drain faster than refill, visible in shape before P&L. FLAT; the 6@440 exit stands; re-court only  $\leq \$330$  AND book-to-bill  $\geq 0.8$  (pack  $\sim 12/02$ ). Full batch ruling:  
desk/data/court\_artifacts/CONVEYOR\_CLEAR\_202609041000.md